

The Social Radars

S1: Garry Tan, President & CEO of Y Combinator

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Jessica: I'm Jessica Livingston and Carolyn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolyn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

Today, we're talking to Garry Tan, the president and CEO of Y Combinator. We go full circle with Garry as we chat about his path from turning down a job with Peter Thiel to founding a YC company in 2008, starting his own multi-billion dollar fund, Initialized Capital, and coming back to YC to be CEO earlier this year. From design to coding to investing, there are lessons and stories for everyone in this episode. Enjoy.

So welcome, Garry.

Garry: Thanks for having me.

Jessica: I need to read you something.

Garry: Oh, yeah.

Jessica: I was thinking about when we first met and I went back through my Gmail account and found an email from April 20th, 2008 that you emailed me saying, "I just wanted to thank you so much for the amazing event today," which was Startup School, and we had met there randomly because you were attending it and you brought your camera and took a whole bunch of amazing photos that you then shared with me, and I was so psyched. We used those on the website and all of that, but that's when we first met April 2008. And then, well, I'm going to ask you a question about photography, but just to put it into a little context, you then must have turned right around and applied for the summer 2008 batch.

Garry: Oh, definitely. I'm pretty sure that Startup School was the thing that tipped it over the edge for me, and I'd never been to an event that was that well run. And then the number one thing I remember was everyone we sat next to, they were engineers or product managers or designers and just builders, and they all spoke our language. Whereas when you go to most tech events, you don't get that. You get the sort of in YC parlance, the scenester, the person who's not really going to build stuff, they're sort of there to leech off the people who are the builders. I was like, "This is crazy. I didn't even know this existed."

Jessica: Well, gosh, I'm totally flattered by that actually. It was a well run event because I did it single-handedly, which was why I was so psyched to get some free photos, professional

grade photos. But in all seriousness, you studied at Stanford and we did the event at Stanford, I think in Kresge or something. Did you not have events like that at Stanford while you were there?

Garry: I mean, Stanford is awesome, and I deeply believe that Stanford changed my life, but this was another level. They're sort of the academic resume level of being prestigious and smart. Everything that Stanford does is prestigious and smart, but there is something that is another level about YC that I saw, which was these are people who are practitioners and builders who are less about the name and actually more about the outcomes. I've been addicted to that ever since.

Jessica: So you were a photographer, were you just an amateur photographer? When did you start doing that?

Garry: The funniest thing is I was working at Palantir when it was like 10 people and they asked me to make the website and make the jobs page, and then I realized that we didn't have any good photos of what was going on. So I got a DSLR camera and then I got hooked to that. So literally it was a matter of recruiting for our startup. I taught myself how to do DSLR photography just in the evenings in the cracks between coding and creating PRD specs. And then I just got really hooked. There was actually a moment in there when I had left Palantir and when I had gone to Startup School, I was actually considering becoming a editorial photographer for a hip hop magazine.

Jessica: Really? Wow.

Garry: But I would've never made any money doing it, but I thought photography's really powerful. But I'm sort of lucky that I did go to Startup School because that put me on a different path and it put me on the path of being able to start a company.

Jessica: And we planned to talk all about that path today, Garry, so we're very excited. Let me quickly back up because you mentioned Palantir. First of all, you were at Stanford and you grew up in the Bay Area, but I remember you've mentioned you were food insecure, you didn't have a lot of money. You get into Stanford and go there. What was that like for you?

Garry: I guess it was everything I expected and more in a lot of ways. The funniest thing is we all hope that the world is kind of like college and I don't know, you go into the world, you graduate and then you realize, "Oh no, it's more like high school." But Stanford was amazing. I mean, it was really, really the smartest people I'd ever met. It actually forced me to change my personality a little bit. I remember being the smartest kid in my high school, but I didn't go to a great high school. I went to a mid to low ranked California public school. But the lucky thing was I really connected with my teachers and we ended up sort of... I realized because there were so few good students in our high school, we ended up having the same teachers pretty much three or four years all the way through.

And so my experience with those dozen other kids who were in the honors AP track resembled a private school in some ways. But going to Stanford, I think there was just an

excellence, like a set of people who were just smart and with it. I realized I wasn't the smartest in the room anymore. If you guys follow Myers-Briggs, I actually went from ENTJ, which is sort of the classic CEO/founder personality. It's almost, I'm sorry, you have to die. And then I actually became ENFP, which is much more sensing and feeling and empathetic because I suddenly realized, oh, I'm not necessarily the smartest person in that room and at any given room at Stanford.

Carolynn: Did you apply at other places or did you know Stanford was your goal the entire time you were in high school?

Garry: I guess the craziest story is Stanford had the earliest application deadline. I wrote all my applications for Stanford, and then in between me writing the essays for all the other schools, I had read Ayn Rand's *The Fountainhead*. And so I actually changed my essay and I got waitlisted and rejected everywhere else, and I credit Ayn Rand for that. I'm not in my Ayn Rand phase anymore, thankfully. But it was a very funny outcome to have. But knowledge and ideas are very powerful things. Of course now, many, many years later looking at it and it's like, of course, college admissions essay readers are not big fans of objectivist, I think

Carolynn: That's great. So I did not know that. That's so interesting. So you're at Stanford. Are you sort of involved in startups or do they pique your interest because you obviously went to Palantir soon after?

Garry: Oh, yeah. I mean, we were always trying to start companies, and I remember applying with my college roommate and one of my friends from high school to the E Challenge at Stanford, and they loved the idea. I think it was an ad tech company. It ended up being what LinkExchange was, if you remember that with I think-

Jessica: Ali Partovi, right?

Garry: Yeah, that's right. Maybe.

Jessica: Yeah.

Garry: Yeah, I think so. We ended up not getting funding, and I remember them saying, "Oh, too green," which now I sort of understand. It's kind of funny to be on the other side of that. We probably could have done it, actually. We just needed to take it a thousand times more seriously. But it's so funny now spending so many years funding companies and working with YC. The difference between committing yourself and actually doing it versus going through the motions is not that different actually. It just requires a choice. I realized we were right there at the precipice of the choice, but we didn't even know it was there, and then we just didn't make that extra step. So we probably could have started a company right out of college easily.

Carolynn: Did you and your friends have a startup icon, like we all want to be like X?

Garry: I think Bill Gates through high school and college was a little bit more the person we wanted to be like. And then of course, I ended up going to work at Microsoft. I was actually sort of amazed how different that place had become. Sort of the swashbuckling, make new products sort of place that we remember reading about for Microsoft back in the '90s. I mean, they were also really mean and they'd copy everything.

Jessica: Did you work for Microsoft right out of college?

Garry: Yeah. Yeah.

Jessica: I've known you since 2008 and never realized you worked at Microsoft.

Garry: Yeah, no. I mean, it was a time where there were no startups really. 1999 had happened, and that was my first year of college. And then by 2002, Web 1.0 had sort of burst.

Carolynn: Crashed hard.

Garry: Yeah, that's right. I remember interviewing at a bunch of these startups and then suddenly all the startups were gone.

Jessica: So wait a second. So you said also you were interviewing for startups, but took a job out of Stanford at Microsoft?

Garry: Yeah. I mean, by 2003 when I was graduating senior year, there were really not many startups left.

Jessica: Okay, because they had all burst in the bubble. What job were you doing and what was it like there? Were you in Seattle?

Garry: Yeah. I had actually been making webpages and database backed websites since 1997. Even though I was like 22, I had many, many years of experience making websites. I worked at one of the agencies that made the first Apple e-commerce store, for instance, and that was really fun.

Jessica: Oh, wow.

Garry: That's how I learned to code when I was 17, I think, taking part into San Francisco. And yeah, I just loved writing code and making stuff. So I don't know, by 2003, it was very disappointing, and this was very wrong. When I think about crypto today, I wonder if we're entering the same phase that the web was in in 2000, 2003. When I was 22 years old, I thought, "Oh my God, I missed it. It's over. The web is over."

The interesting thing about that was right when I was thinking the web was over, some smart people who were dropping out of Harvard were working on the Facebook. It was exactly the right time to be working on what everyone thought was consensus dead, that the web was dead. Pets.com is dead. None of this will ever come back. The bubble's over, right?

Jessica: Right.

Garry: If anything, now, the past 20 years has taught us that that was the wiggles of false hope. There's sort of this trough after the hype wave. The ideas were right about the web. Social networks were definitely going to happen. Just because they hadn't happened yet, that didn't mean that it was never going to happen.

Carolynn: It's so funny that you mentioned Pets.com because way before you mentioned it, that's the first company that came to my mind, and I'm like, that poor company was the poster child for Web 1.0 crash. Just absolutely.

Jessica: You were still young enough to be naive, and you probably believed all the news articles that it was dead.

Garry: Yeah, well, some of it is even believing and reading the news articles and believing that, don't get this wrong, I know many reporters, they're really smart, but they're also sort of telling you the second and third hand consensus view of how the world works, not telling you what is actually happening. The real thing that was really happening is happening in some bedroom garage, two bedroom apartment in a YC startup that is working on a fringe technology that nobody's heard of yet, but people are excited about. Like some toy that nobody knows about. And that's the real thing that's happening. There wasn't TechCrunch back then. Twitter didn't exist, but there was the Wall Street Journal or Business Week, or do you remember The Industry Standard or Red Herring magazine? There are all these things that-

Jessica: I remember the Red Herring.

Garry: ... tried to teach you what the next thing was, but those people, they were just wrong. You're looking at the second and third hand retelling of stuff that had happened six or nine months ago. You're reading PR, and the real thing was happening in code editor someplace quietly at 2:00 AM.

Jessica: So I want to get to how you made the move to Palantir, but I have to ask, going to work at Microsoft, is it demoralizing?

Garry: Oh yeah, for sure, maximum.

Jessica: Tell me a little. Give me a nugget. What was it like?

Garry: Some of it though was also, this was the first money that I was making. The job was like \$70,000 a year, which was more money than I'd ever seen before as a 22-year-old. I do think that I made some mistakes about how I should have thought about money. I got a brand new car. Granted, it was a Honda Accord, but it was a brand new Honda Accord. I got the nicest least apartment that I could get in the fancy part of Seattle so I could go drink martinis with my friends on Friday and Saturday nights. I regret all that because in the background, I knew that I wanted to start a company, but I sort of fell for the trap. You go to a job, you get just shot on all day by all the giant company of people who

aren't really building that much. I couldn't believe how many people there were to just ship a product that was sort of copying what RIM BlackBerry was.

I ended up leaving the web, working on Windows Mobile, and they actually gave me the 22-year-old level 59 PM. They gave me all of the things that ended up making the iPhone a success. So music and photos and all of the... They were pretty fun scenarios, but they gave it to the lowest, newest PM and also gave me no resources at all. I sort of remember going with some of the other junior PMs. It was all about integration into Windows, for instance. Windows Media Player was a big thing. People stored their MP3s in there. I remember we had to go over to the Windows Media Player PM's office and wait there. My friend brought a bat, not to actually threaten him or anything, but it was just a theatrical device. It's like, "Hey guys, we really need this thing."

Sometimes they'd give it to us. Sometimes they would fix the bug and often they wouldn't. And then that's why it was so broken. It was impossible to get anything done because Microsoft by then was not the Bill Gates, like ship a lot of software and work hard and make something awesome. It was sort of the ossified set of fiefdoms of people who were paid outrageously well and mainly got ahead by backstabbing each other in the stack rank every year. So it was just this sort of ossified place. And then it was such a terrible place to work that I had to self-soothe by drinking and partying with my friends or something. I realized at some point, it was a trap. The system traps you into a job that you don't like. So then you need to spend money on things you don't need to try to make yourself feel a little bit better. That was my 22-year-old experience.

Jessica: I did the same thing, but when I was 25. So I think it happens to the best of us honestly.

Garry: Yeah, totally. And if people are listening, there's a way out. Don't worry.

Carolynn: They are golden handcuffs, but you can take them off.

Garry: That's right.

Jessica: How did you land in Palantir? You decided to make a change for yourself, obviously.

Garry: Yeah. Some of my friends started a company with Peter Thiel. I think they were working at his hedge fund. I guess initially, they wanted to work on some stuff I didn't really want to work on. My parents were immigrants from Singapore and Burma, and on my mom's side were sort of both economic and ethnically political refugees from both China and Burma to Canada. I was always worried about politics in the government. Initially, Palantir was meant to help three letter agencies catch Osama Bin Laden or help with surveillance of people. That wasn't really something I exactly wanted to work on.

Later they came and said, "Hey, could you work on hedge fund software?" I was like, "Oh, okay." Well, political stuff and things that sort of affect three letter agencies, I don't know if I'm the right person, but if it's about markets, macroeconomics and helping hedge funds, I think I can build software for that. I ended up turning down the chance to co-found it early, but I ended up joining maybe a year later after they had gotten started.

The crazy thing about that is even today, it almost certainly costs me nine figures, that decision. But on the other hand, if you're smart and you're skilled, it sort of doesn't matter. It'll all work out, at least knock on wood. That's what I want for people, that if you're smart, capable, and you can make things for other people, the money will come.

Jessica: I totally agree. Your rationale for not joining makes sense. So you're at Palantir, you're early employee though, like number 10? Is that right?

Garry: Yeah. Yeah. I got to design the logo, and I remember that's why I got into the photography because I had to make the website and then I made the jobs page and I wanted to show, "Oh, look, we're fun. We have catered lunches and dinners and look at all the bean bags around," and all that stuff.

I remember going to Stanford Sweet Hall and we would bring stacks of pizza boxes. This was where all the software engineers would hang out and do their Unix coursework at Stanford. We would print out these things with the logo of Palantir, and it'd be like, "Palantir, come join the next Google." And people would eat our pizza, but then be like, "How dare you?" We're a 10-person company saying that we were going to be the next Google. But I just think about that as that was what was sort of necessary. To even put out that vibe was necessary to hire and build the kind of team that was necessary. Of course, Palantir ended up being a multi-billion dollar public company, but it's not exactly Google, I guess.

Jessica: What year is it that this is happening?

Garry: This is 2006.

Jessica: 2006, okay.

Garry: Yeah.

Jessica: What did you learn about startups while at Palantir? Because obviously you're starting to think at some point that you might start your own. What did you learn while at Palantir that was really important?

Garry: I think at the end of the day, it was really about software. I think when people look at Palantir, they sort of wonder how does it work, how could they build these giant revenue streams from the government. I think the number one thing I learned was software and the ability to build technology. There's sort of a technocratic aspect to Palantir that actually runs through YC and runs through everything that I've seen work in technology period. It's like, what do the builders want to build and what are they capable of building? And then everything else about technology capitalism is about latching onto that technology.

In the end it's like, what does a software engineer want and what are they capable of doing? And then everything else, all the super structure around that is mostly extractive from those software engineers, which is crazy. When you look at Microsoft, that's what

it is. It's a late stage technology holding company meant to extract as much money as possible from the real wizards of the situation, which are the software engineers and designers and product people. The average profit per employee at most tech companies, it really ranges, but it's pure profit, sometimes half a million dollars to \$2 to \$5 million, something like that. It's really sort of astonishing. And then it's only a very recent phenomenon in I think the past three or five years that tech started to have to actually pay that amount of money to their top performers. Back in 2003, 2005, that wasn't true. Even your top performing engineers, they'd make like \$300,000, \$400,000, but on a per employee basis, they'd probably be making tens or hundreds of millions of dollars worth of market value, and it was purely extractive.

Jessica: Yeah.

Garry: I think that that's what I learned from Palantir is that's really valuable. And so software engineers and people who are able to create these products and services for other people that society desperately needs don't underplay and undersell what that is worth because every startup and every business in the world needs it and needs it desperately. That's what Palantir is, it just goes into these situations that would never have access to a good software engineer and then applies software, and then there's leverage. I think that has played out across my entire career. Every startup that we fund that turns out to be great, the core of it is great technology that then solves some problem or need that frankly just unlocks things people need.

Jessica: Well, that's a good segue actually, because now I'm going to ask you about, you come to Startup School, you're obviously interested in startups at Stanford. You must have applied to YC within the next few weeks. I mean, I think we must have been doing interviews in May for that summer, which by the way was in Cambridge. But what led you to take the leap to start your own company?

Garry: I ended up wanting to be a designer. I was 26 at that time. I was sort of in my searching mode. I spent a few years as a lead engineer and designer and PM sort of running one of the teams. And then I wanted to just see what it was like to be a designer only. I actually went to work at another startup for Jen Wolf, who actually is now one of the new managing partners at Initialized. So she ended up coming to work for me at Initialized, and now she runs Initialized, which is fun. But she was my boss back then.

The funniest thing was being a designer was great, but it also gave me a lot of free time in the evenings and I ended up working on a side project on my own time, on my own device called Posterous, which was a blog platform, and it was with one of my other college friends, Sachin Agarwal. It just started as a toy. He made this thing that let you post by email to initially a WordPress blog and then I came in and started working on the website part of it so that instead of posting a WordPress, it would be to Posterous.com, its own blog. The whole claim to fame, I think was that the iPhone was brand new, apps that let you post photos had not become popular yet. There was a new platform. People didn't understand threading yet. So Instagram didn't even exist yet.

And so basically for maybe a year and a half, two years in there, Posterous was the easiest way to get photos off of your iPhone because you could just go into your Photos

app, select some photos you wanted to post, and then click email, you press P, there'd be auto complete, and then you just send it. We grew really fast from there just because the iPhone existed and there weren't apps yet.

Jessica: I remember it was, "Dead simple posting," that was sort of the tagline if I remember correctly. So we accept you into Y Combinator and I have to say it was probably helped a little bit that I was so excited about all your photographs and I knew you and we were excited to meet you and Sachin. So we accept you, you moved to Cambridge, and by the way, this was the last Y Combinator batch in Cambridge before we fully moved to Silicon Valley. What was Y Combinator like back in 2008? It seems so long ago. What do you remember it being like?

Garry: I remember trying to get through a summer in Cambridge without an AC unit, and I think we lasted about four days or something. It was so odd. I had actually moved to Cambridge having lived right next to the YC office in Mountain View on Pioneer Way.

Jessica: No.

Garry: So I was right there on Shoreline at the time and I gave up my housemates. It was lucky too that we did that because I don't think Posterous would've existed if we waited another batch because YC summer '08 was the batch that Lehman died, where Lehman Brothers literally crashed and-

Carolynn: Oh, yeah.

Jessica: '08, that's right.

Garry: So we closed our \$700,000 seed investment from our seed investors the day Lehman died. And then anyone who hadn't raised money did not raise money for another six months. And then I remember you and Paul said, winter '09, there might not be any investors at demo day, so if you're worried about it, you can defer and come back in another batch or two because we don't know if there will be any investing. And to this day, if you look at the batches, summer '08 is actually the least successful batch in history.

Jessica: That is so funny that you said that because just before this interview I was like, "I just want to bring myself back to that batch and remember who else was in that batch." Because I knew Cloudfant was in it, but I couldn't remember. And I looked at that batch and I said, "God, this batch did not do very well." And now, of course, I'm putting it all together. Wow!

Garry: Which is also relevant to today, but I don't think it's as bad as 2008 right now yet for startups. Knock on wood, it doesn't go down that way.

Jessica: When we were interviewing people for winter 2009, we basically said, we're only going to accept people who can make money very quickly or don't need a lot of money to

survive and are really tough. We only invested in half of the amount of people we funded the summer before, and Airbnb was one of them. Thank goodness.

Garry: We use that story all the time now simply because it's so powerful that on the outside, people look at the headlines, they read the Wall Street Journal, they read Tech Crunch, they say, "Oh my God, the sky is falling. Everything's over. I should just get a job." And yet in winter of '09, one of the best YC startups ever came through when it was the darkest, actually. That's such a great, powerful idea that I think it's just so useful, especially right now because it is dark times for a lot of startups out there, but if you can create growth and retention and make a thing that people really want, it doesn't matter whether it's good or bad out there.

Carolynn: I want to take you back just one second to you started Posterous, did you walk into your boss's office at Palantir and be like, "Quitting, starting startup," and then what was the reaction?

Garry: Oh, God. The funniest thing was I went in and did that, and then it was actually Jen Wolf at Initialized. She was the head of product for the startup reared in commerce at the time, and she said, "You know what? Why don't you just go on leave so you can have health insurance." Which was very nice.

Jessica: That is so nice.

Garry: Yeah. At the end of the day, once it took off, I distinctly remember YC introduced us to Michael Arrington who ran TechCrunch at the time. Michael liked it so much that he left it on the homepage of TechCrunch extra long. I think it was 48 hours of, it was the top story on TechCrunch a whole weekend. I remember we got 10,000 signups that weekend, and then 10,000 became 20,000 the week after. It didn't double forever, but I just remember the user base in traffic and usage and all of the numbers going up between 20% and 40% every single month for two years straight. All of it was really from you and basically YC teaching us how to launch and how to just keep iterating.

I definitely remember going for a walk with Paul and he sort of berated us actually about how terrible our signup flow was, and he was right. I'll never forget that because being able to take off all of the context and look at a homepage or a first time signup flow with the eye of a beginner, really put your shoes in a user. I don't think Paul's ever described himself per se as a designer, but that is the key to truly great user experience design is deep, deep empathy for the customer and the user. That was one of the things I really remember was really learning how to do that and put that above everything else when building products.

Jessica: Yeah, Paul won't hold back when he is telling you how to improve things about your site.

Garry: Yeah. Which is important. I mean, I think that that's something YC does today that is so great and great investors do that. We're already invested and there's a whole discussion that actually Carolynn and I had recently about what is founder friendly, and I think there's a facile and wrong way to look at founder friendly, which is like, we never say

anything bad about what's going on. We just support you whether you're doing well or poorly, and that's founder enablement, and that's not even friendly.

Like if your friend is addicted to heroin, you need to say something and you need to get them off the drugs because it's going to kill them. I think that in startups, it's actually a very toxic and scary moment today where the principal agent problem of investors and VCs often is enable, just puff them up. "Oh, well, I want to buy more of this company on the way up anyway, and then if it turns out to be not good, I'm just going to ghost them anyway." So it's just this purely transactional, sort of coin-operated founder friendliness that is pretty scary to see. It just results in more startups dying.

Carolynn: Yeah, exactly. Founder honest is the [inaudible 00:30:17].

Jessica: Yes, founder honest, which we were definitely back in 2008 for sure. Who was one of your favorite speakers, the dinner speakers in that batch?

Garry: Oh, I remember Bill Warner was one of the guys who spoke. He created Avid Technologies.

Jessica: Yeah.

Garry: I just remember that being cool to hear about someone who had built something that had never existed before, and how he sort of stumbled on it. Avid was, even before Final Cut Pro or Adobe Premiere, it was one of the first non-linear editing systems for video. I just remember that being, it's cool to hear stories of here's a technology that is fringe that nobody knows about, but is going to totally remake an industry and then he did it. Or Steve Kaufer from TripAdvisor.

Jessica: TripAdvisor, yeah.

Garry: Yeah. He was great. He told us topics about A/B testing and very, very lazy A/B testing. A lot of people when they A/B test, they actually build out both A and B, and he said, "You don't even have to build A or B, you just have to build a button that says that it's A or B, and then you can send them to an error page and people will just forgive you, but you can collect the data and figure out whether you should build A or B without ever building either of them." I think those are the important stories because it just sort of teaches you how to be relentlessly resourceful. And that I always remember from my time at YC,

Jessica: And those were back in the days where there wasn't tons of content online. So I remember I love-

Garry: Yeah, these were new concepts.

Jessica: After YC raised a nice seed round there, what then happened to Posterous? I know you sold to Twitter, but you didn't go to work at Twitter though.

Garry: I actually had a co-founder falling out. As things sort of go up and down, I actually was really burnt out by end of 2010. Instagram had come out and then that actually flatlined our growth. But when you're in the tornado of not knowing how these things work, you actually sometimes don't know why you're growing and sometimes you don't know why you stopped growing.

Jessica: Yeah. Why was Instagram better? Why did they beat you?

Garry: They actually were very purely focused on photos, and then they had a very slick and well done upload experience. So you would select a photo, and then while you were typing the description and tagging things and whatever, they would have already uploaded all the photos in the background. So when you click post, it was on the internet immediately, and it was just very visceral, super good experience. And then aside from that, they really focused on the network, just building as many people as possible into that network and just winning that way.

One of the things I always think about is how YC and PG in particular would talk about there are new categories of the periodic table happening absolutely all the time. And the best people to understand and build that are actually the engineers and builders who understand how these things are built, sort of how the best people to figure out what the next element of the periodic table are physicists who understand the atom.

I think that that's one of the really important things that investors have to help founders with. In the moment, you have this fog of war and you don't really know why you're growing and what that next category is. That's actually one place where I think YC and the YC partners and really good investors period can help founders in really fundamental ways. They've seen so many different patterns and things that have worked and not worked. And then that's the classic difficulty of being an investor is the Cassandra syndrome. We are soft advisors. It's not really our place to tell people what to do. We can only give them the information and the stories and the history of it, and then people have to make their own conclusions and really good founders do. When failure happens, it's often not looking at the data that's in front of us.

Jessica: So the falling out, how did that play a role in the acquisition and you not going to Twitter and all of that?

Garry: Yeah. This is the trickiest thing around starting companies is just maintaining that co-founder relationship. This is something that I've hopefully, knock on wood, sort of overcome over years of coaching and therapy at the end of the day. But one of the things I realized was I was horribly conflict averse early in my career. Rather than address that and be willing to inflect into conflict and say what I really thought, I would sort of eat it because I thought, "Oh, well, in order for a startup to be great, I need my relationship with my co-founder to be good." And so I wanted to skip directly to having a good relationship, which meant that I didn't stick up for what I believed was right. That's not a good relationship. That's again, it's a bizarre version of enabling really. That's what I did, and I regret it. Now, we spend a lot of time helping people try to overcome that.

If anything, the tricky thing that I did was I tried to code my way out of it. I think that's the trickiest thing today for a lot of founders is you catch lightning in a bottle and Posterous had definitely caught lightning in a bottle, but then the only thing harder than catching it is actually keeping it. And so I didn't have the hard conversations and I tried to keep doing the things that got us product market fit. What I needed to do was become a great manager, learn to communicate, work through conflict, and I had eaten so much of the conflict, I actually couldn't sleep, and I had a breakdown a little bit. I couldn't function, I couldn't eat. It manifested in like sort of physical, like just being ill.

I only tell this story because I think that it happens to people quite a lot, and then they don't know what's happening. My sense is every human being has sort of a horse and a rider. My problem was not that my rider was not in control enough, my rider was too in control, and my physical maladies were a manifestation of my horse or my body trying to tell me, "Hey, this isn't working for you. This isn't working for us."

Jessica: Yeah.

Carolynn: Were you married during this time?

Garry: Luckily, Stephanie did not break up with me even though I was having a really hard time.

Carolynn: I was just wondering how your personal life meshed with this business life.

Garry: Oh gosh, I put her through so much. So to complete the story, I knew that me and my co-founder had different ideas on how to fix Posterous. He wanted to make it into sort of Google Groups. I didn't want to work on that. In fact, I sort of said, "Google doesn't seem to want to run Google Groups. That's not actually a business." But I also wanted to support him. So the best way I could support him was to let him run the company the way he wanted to. And then I think I reached out to Harj and Jessica about, I had heard that YC was looking for a designer. So you guys hired me as a designer in residence in that December of 2010, January of 2011.

Jessica: Yeah.

Garry: That actually really was great. That was awesome.

Jessica: Wow! I don't think I knew the depths of your co-founder conflicts. It's sort of the difficult side of startups that people don't get into too much, but I'm glad that we got you. I remember you came on in winter 2011, and remind me, so we had Harj there. Was PB yet there?

Garry: Yep. Yep. He was sort of hanging around. And then I think that summer, a bunch of us came on as partners.

Jessica: A bunch. Who else besides you?

Garry: I remember it was like Aaron Iba, Geoff Ralston, PB. I don't know if they were already-

Jessica: All at the same time?

Garry: It felt like it was all at the same time. But I remember by summer, you guys had asked me to be a venture partner with Aaron.

Jessica: And you came on and you did a lot of our design work.

Garry: Oh, that was fun. Yeah.

Jessica: I remember business cards, you took that off of my plate.

Garry: Yeah.

Carolynn: By the way, I still have an entire box of business cards that you did for me, Garry.

Garry: I'm happy to redesign the business cards if necessary.

Jessica: How was YC then, three years later, how was it different when you came on as a partner from when you had gone through it as a startup? Do you remember?

Garry: I mean, what's funny about 2008, and a lot of people forget this was like YC was not widely known the way it is even by 2011, right?

Jessica: Oh, yeah.

Garry: YC was deeply respected in a fringe but the most important circle, I think, of technology, which is it was the software engineers and designers and product people, like the builders who really cared about it and loved it. We read Hacker News, we read Paul Graham's essays, and then we looked at the alumni who were coming out. So we wanted to be Reddit, Steve and Alexis. We wanted to be Drew and Arash at Dropbox. And then of course later is we wanted to be Brian and Nate and Joe at Airbnb. There's this small set of people who have the skills to build something that has never existed before, and what they care about matters more than pretty much anyone else in society.

I still believe that the builders are the most important people, and that's what YC caught very, very early. Those are the people to help build. You used to have to either go to grad school or get a job and like, no, no, now builders who are really talented, you should be the one who has the agency. You should be the one who's the CEO. The hard part about playing chess is being smart, not knowing how the pieces move. I remember Paul talking about that, and I'll never forget that because I think that that's one of the most powerful engines that powered all of this.

\By 2011, there was Dropbox and Airbnb and Reddit. One, you're lucky, two, you're good I think. By then, consensus reality in tech started to realize, "Oh, no, YC is, there's something happening here." I remember that it was a very different energy. In 2008, being ex Palantir and Stanford engineers working on a startup, we had well known VCs ask us like, "Why did you do YC? We don't understand. You could have just raised money

without it." What they didn't understand was having other people in your batch help you and teach you how these things worked and the community was so powerful. Even recently, I think in our managing director meeting with Michael Seibel, he was mentioning that we all came up through startups, and we had our YC friends and our non YC friends. The thing that really stood out to us for all the non YC people who were founders through the past 20 years, they're really lonely, 10 times more lonely, and 10 times less likely to have someone to talk to about all of the worst things that happen in their startup careers.

That has a real impact on mental health and actually the success of the business and just all the way across. And so I think it's cool that people are now realizing that over the past, especially 10 years, YC has gone from this very fringe thing that people in tech are, they're like, "What is that?" And then suddenly it was like, "Oh, some interesting stuff is happening now." And then to see how people view it today. I mean, credit to you guys, man. You built from nobody believes this to, oh my God, now we all believe it.

Jessica: I feel like it took a really long time, but the whole loneliness thing was kind of the reason YC is YC. We only did the batch format in the summer of 2005 for us as founders of Y Combinator to get up to speed on how to be an angel investors. But then we immediately realized that summer, like, gosh, it's nice to have some colleagues, if you will. I mean, they weren't living in the same places, but they'd come together on Tuesdays, we'd bring people together and you sort of felt like someone was in it with you while you were doing this really hard thing. So the sense of community was always important. While you were at YC as a partner, you designed Bookface, which is now a really important part of the YC community.

Garry: Yeah. I mean, it's just fun.

Jessica: Yeah. Didn't do that because you wanted to help people remember who was in the batch and put the faces to the names?

Garry: Yeah. I mean, I think one of the things that really accelerated by 2011 was the batch went from sort of... When I did YC, it was 20-ish, 25, 26 companies, I think. And then that first batch, I was a designer in residence, I think it was 45. And then right after that, it got to 60. And then I think the one after that was 90 or 100. That was the batch-

Jessica: It was 82, and it was the batch that broke YC.

Carolynn: Summer '12.

Garry: Yeah. But then both Coinbase and Instacart were in that batch. Is that right?

Jessica: Yeah, that's right.

Garry: So I think we reached a point, and I sort of realized it quickly just from doing office hours with people that people in the batch didn't know who else was in the batch. We would hear in the margins some stories of people socially engineering YC that way. They would

say that they were YC companies and YC companies were very likely to become customers of other YC companies. So they would get customers or trick people by saying that they were YC when they weren't. That was when I realized, "Oh, shoot, we sort of need a way for people to know who's actually in the batch versus not." And then I named it Bookface because it was sort of a joke from the Halloween episode of The Office where Jim writes Facebook on his face and people were like, "What's your costume? Is it Bookface?"

Jessica: During this time, you then became a full-time partner at Y Combinator, but you started Initialized on the side, as a side project, right?

Garry: I mean, you kind of introduced us to our first limited partners. So I don't know if you remember this.

Jessica: Oh, it was a demo day. I do remember Alex, right?

Garry: Yep. Yep. Alex Bangash. But I think when I look back on it, Initialized was sort of what an AngelList syndicate is now. We were the younger partners who did not have exits yet. And so I did not have a lot in my bank account, but at the same time, we said, "Well, we want to be able to do some angel investing as well." And that was when YC would do its standard deal. And then demo day was really about helping the founders raise money period. It was just a different time, but we learned a lot about investing that way as well.

Jessica: What did you learn about later stage investing? What did you find was different from being kind of the first investor like we were at YC?

Garry: I guess it just never really stops being hard for these founders. I thought it was just very useful to see and just help people raise their series A and their B. The interesting thing is that's all stuff that is built into YC today in various programs. But that was one thing that was clear. The startups still need help and support all the way through. Really good people around you makes a big difference, and it's not just money.

Jessica: Yeah, it's the investors.

Garry: Yeah. The investors can do a lot of damage too. I mean, the best version of it is people who are high integrity, who are smart, who have a great Rolodex, who can help you and are benevolent. I think YC has always been that for me. When I was away and working on Initialized, that was something that I desperately wanted to model myself after, whether it was the way YC did it or the way SV Angel does it, or other people who we all respect.

Jessica: Okay, Garry, when this airs, you are the new president of Y Combinator. We are coming full circle here on this, and I could not be more excited. I'm so happy.

Garry: Me too.

Carolynn: Same.

Garry: Yes. We're all so happy, and I won't ask you too much because it's obviously very early days of you rejoining, but tell me about what's special about Y Combinator? What brought you back? Why are you excited to be here?

YC is actually the most successful investment firm that has ever existed in the history of investing just by pure numbers period. When you look at most venture capital firms, they are lucky to be 3x net over long periods of time because one fund will be like 10x and another fund will be 0.7x. But what YC has created has never existed before and maybe never again will exist elsewhere other than YC. What that means for society is that this is one of the goals I think that I'm hearing in a lot of the one-on-ones I'm having with everyone, is that we can really potentially remake the way capital is allocated to all creative and profitable endeavors, and that's needed, that we can help founders. It is the most successful thing that has ever existed as investor, having no intention of being a classic investment firm, right?

Jessica: Right.

Garry: The values and the culture and the way to do things is so completely different. I actually think the world will be far better off if they share the values that frankly, Jessica, you and Paul and the original creators of YC really set out for us.

Jessica: Aw.

Carolynn: Yeah.

Jessica: Aw, that's so nice.

Carolynn: It's true.

Jessica: Yeah. I mean, it's true. It's a special place and I'm so glad you found your way back to it.

Carolynn: You know what popped into my head when you said that, Garry, is there's a lot of conversation about where higher education is going, colleges, universities, what's going to happen to them in the future. I kind of think, this is really tenuous, but it's sort of connected. You can take all this capital and you empower people to do different kinds of things and not take this traditional path, I feel like that's all related. I don't know if you meant it to be related, but that's how I view it.

Garry: Oh, definitely. I mean, it's certainly all connected because we want a lot more people who are capable and smart, able to create these things that solve problems for society

Carolynn: And take unconventional paths to get there, I think.

Garry: That's for sure.

Carolynn: To get where they want to be.

Jessica: We want to make it easier for anyone to do that, to start their startup, which was the whole reason we started it, was to create this alternative for people who didn't know what to do or how to do it and make it easier for them to build something that people want.

Carolynn: We used to have this tagline that was, "YC's for outsiders". Do you remember that era?

Jessica: No.

Carolynn: Yeah. I don't remember who came up with it. YC's for outsiders because it was like the theme was you don't need to be on this path toward an elite school. You don't need to stay in your elite school. If you've got skills and can build, just come and build with us. We'll help you.

Jessica: My question to you, Garry, a lot of people know this about you, but you're a really nice person. You're known for being nice, and I'm curious if being nice has hindered you ever along the way in your startup journey or running companies?

Garry: I think we touched on this a little bit earlier. I mean, certainly in my co-founder experience, in the spirit of harmony, I would sort of go with things that I thought were wrong just because I didn't want to rock the boat. That was my cardinal sin was to not be true to myself earlier in my career with many, many years of working through things. Actually, I do think that I think about therapy and self-work and even just studying the works of Jung and Adler and just the great psychologists of the 20th and 21st centuries, that's the self-work that allows us to reprogram ourselves. So I can be nice, I can treat people like human beings, but there is also a goal and a thing that I want, especially as I head organizations, it's not about me being prescriptive or saying, "This is what I think, and I have no justification for it."

The leader is sort of meant to be someone who is incredibly empathic, who can bring in all of the different disparate things that people want. And then I need to do synthesis, which is everyone knows that we're on the same team. We may not be on the same page on how to achieve the goals, but we can agree on what the goals are. And then if there's disagreement, and there always will be, because we're not one person, we all have very different experiences, people need to trust me to make the call, to bring in all the different things that people believe, and then we need to disagree, but commit. The ideal thing is organizations of people who are very different, who have totally different experiences, but who are aligned, high integrity and genuinely enjoy working with one another.

We can actually disagree, but commit and then make the right choice together. It shouldn't require bad feelings actually if done right. People can say, "Well, I don't exactly agree with it, but I understand it." And that's okay. That's actually a good scenario. The more I spend time with people, the more I realize, no, no, that's what leadership is. It's not necessarily just making a call and saying, "We're going to do it my way and I'm going to punish you if you don't agree." It's actually making people not just feel heard, but

actually hearing them. That's where I think turning niceness and empathy into leadership, that's where the rubber hits the road.

Carolynn: What makes you happy? What makes it fun?

Garry: I think that I still just get addicted to various types of creation. Earlier, working on Bookface after doing office hours was a form of that, and I was just like, "Oh, well, in the evening I'm just going to write this code and release it. And if people like it, that's great." I don't know, to be frank, making videos now is how I do it, whether it is for my YouTube channel. But also the coolest thing that I recommend all parents do is get one of these, either use your iPhone or you can get one of these DJI Action 2s, these tiny little sports cameras, and just take two or three-second clips of going on a vacation or a weekend with the kids or going ice skating and whatever and then just drop it all into Final Cut Pro and drop your favorite song into the bottom and then edit it together. It looks like a music video.

Jessica: I love the ones of your kids. I love seeing those.

Carolynn: Yes, they're really cute.

Jessica: So that's great advice.

Garry: Yeah.

Jessica: All right. Well, Garry, we've taken up a lot of your time. We're so happy to talk to you and catch up and hear all about what's going on.

Garry: Thank you for having me, and thank you for believing in me to have me back at YC.

Carolynn: It's going to be a very exciting upcoming years.

Jessica: All right, Garry.

Carolynn: Thanks, Garry.

Jessica: Take care. Thanks, Garry.

Garry: Thanks. Bye.

Carolynn: Bye.

Garry: Bye.

Jessica: Oh, see Levy.

Carolynn: Okay. So who knew he worked at Microsoft?

Jessica: I had no idea. That's the shock of the conversation.

Carolynn: That was the shock of the conversation.

Jessica: Next time I see him, I'm going to have a lot of questions for him. I wanted to ask, did he ever meet Bill Gates? But I have so many questions. I just had so much fun talking to him, and I'm so excited he's the new president of Y Combinator. I feel like it's just going to be awesome.

Carolynn: I just really, I think he's so thoughtful, so obviously he's going to be a great boss. Working with someone who's that thoughtful and who's that insightful and who knows himself so well, that's... All the things he said there, just at the end just are such feel good, confidence building things.

Jessica: And I do have to say, having known him now, gosh, for 15 years, having known him for 15 years, I have seen an evolution of... I mean, he is always been the same Garry and the same talented, kind, smart Garry, but I have seen sort of a maturity and a willingness to get into some conflict and resolve things that way. And I think it's great.

Carolynn: It's like a confidence. And not to be too cute about it, but the empathy that he was talking about, I think the empathy and the confidence feel like what's different. His evolution, that's how I describe it.

Jessica: Yeah. Which is great. I just love when you see someone flourishing when you've known them for so long. That sort of makes me happy.

Carolynn: Yeah, same.

Jessica: So that was a really fun interview. Great. Well, can't wait to talk to you for the next one.

Carolynn: Yeah. See you next week.

Jessica: See you. See you next week. Bye.

Carolynn: Bye.